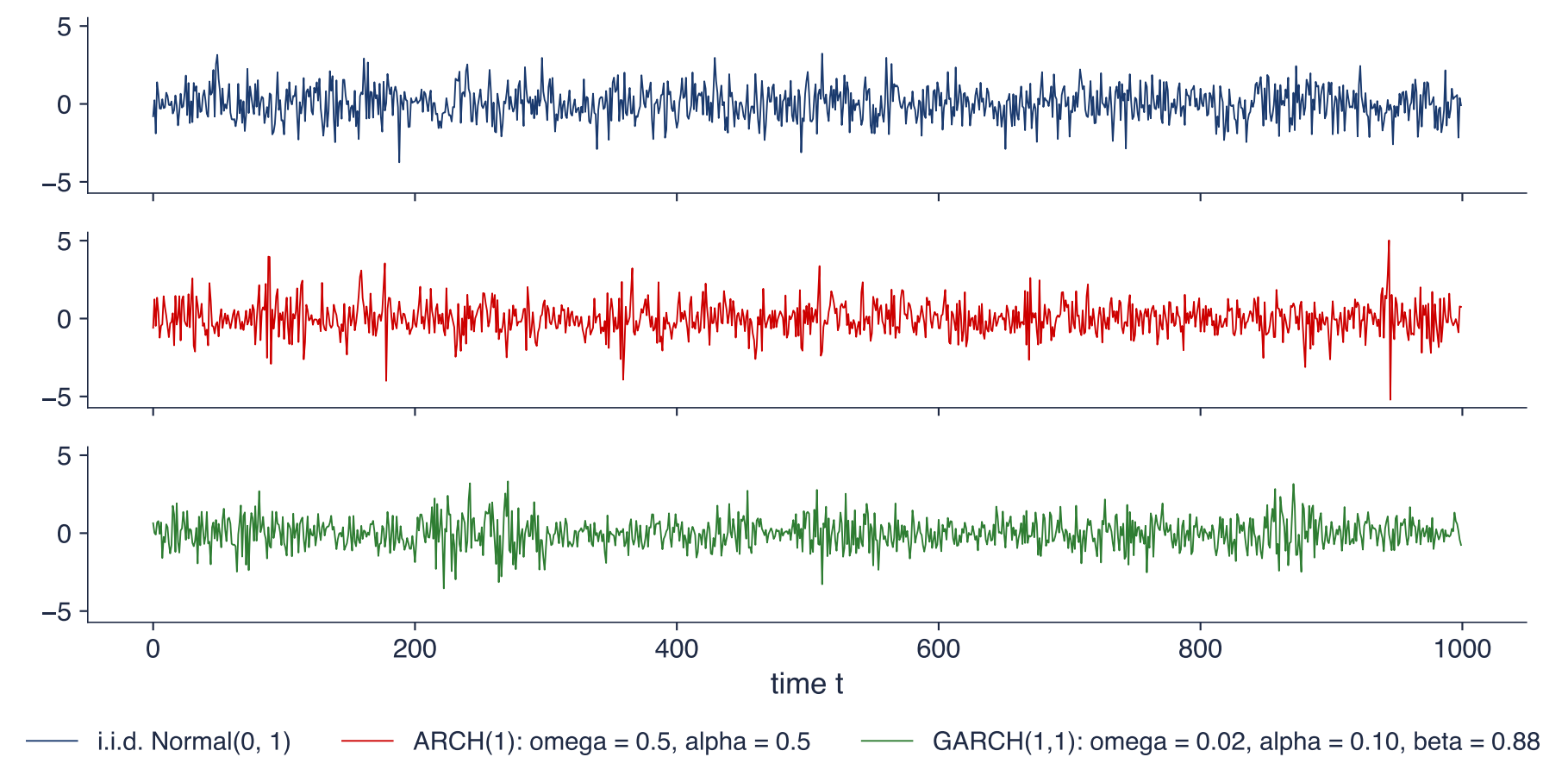
5
0
−5
5
0
−5
5
0
−5
0
200
400
600
800
1000
time t
i.i.d. Normal(0, 1)
ARCH(1): omega = 0.5, alpha = 0.5
GARCH(1,1): omega = 0.02, alpha = 0.10, beta = 0.88